

Japan Daily Brief

Thursday, September 10, 2026

1,666 words · 7 min read

RE: BOJ rate hike near-certain Sept. 18 · Takaichi cabinet reshuffle Sept. 16-17 · JASDF scrambles day 5 · Nagoya floods

NIKKEI 225

64,819.96

▼ -0.31%

USD/JPY

153.40

▼ -1.45%

BRENT

\$101.03

▲ +4.93%

BOJ RATE

1.25%

○ TODAY AT A GLANCE

- 1 BOJ board member **Masu** declared in a Fukui speech that further rate hikes are required to cap inflation at 2%, with swap contracts pricing a 97% *probability* of a 25-basis-point hike at the September 18 meeting.
- 2 PM **Sanae Takaichi**'s government has settled on September 16 for cabinet and LDP executive reshuffle, with reports indicating one Japan Innovation Party member will be added and a minister for consumption-tax legislation will be created.
- 3 One person died and more than 40 were injured as record rain inundated Nagoya — the Asian Games host city — triggering manhole eruptions, a Mount Fuji landslide, and flooding across central Japan on the eve of the games' opening.

○ TOP STORIES

ECONOMY-BOJ

BOJ board member Masu calls for further rate hikes; Sept. 18 move near-certain

BOJ board member **Masu** declared in a Fukui speech on September 10 that the bank must continue raising its benchmark rate to cap price trends at 2%, with swap contracts pricing a 97% probability of a 25-basis-point hike at the September 18 Monetary Policy Meeting. The Financial Times noted the hawkish signal follows pressure from US Treasury Secretary **Scott Bessent**, who told BOJ Governor **Kazuo Ueda** the US supports yen-strengthening efforts, and comes as inflation threatens Japan's seven-month streak of real wage growth.

per The Japan Times: "BOJ will keep raising benchmark rate to cap price trend at 2%, board member says"

THE JAPAN TIMES

INDO-PACIFIC

Record rain kills 1, injures 40+ in central Japan; Nagoya flooded ahead of Asian Games

One person died and more than 40 were injured as record rainfall struck central Japan on September 10, swamping Nagoya — the Asian Games host city — with water erupting from manholes and a landslide hitting Mount Fuji. Japan is deploying 10,000 police officers for the Asian Games opening ceremony, which proceeds despite the flooding.

POLITICS-DIET

Japan Times: Takaichi reshuffle a test of independence from LDP elder Aso

The Japan Times frames the upcoming September 16 cabinet reshuffle as a critical test of whether PM **Sanae Takaichi** is ceding substantive policymaking authority to LDP Vice President **Taro Aso**, whose influence over cabinet composition has been a persistent subject of reporting. An Asahi Shimbun analysis published the same day quotes a source saying governance cannot proceed by ignoring Aso.

per The Japan Times: "Is Takaichi under the thumb of LDP elder Aso?"

THE JAPAN TIMES

OVERNIGHT

- ECONOMY-BOJ** Economist: Takaichi's big-spending plans are unnerving markets — The Economist argues PM **Sanae Takaichi** is placing the state at the centre of Japan's economy through expansionary fiscal policy. The piece frames her spending agenda as a market-unsettling departure that compounds existing concerns about fiscal sustainability. · The Economist
- DEFENSE** Japan to develop drone-based quantum sensors for submarine detection — Japan is developing drone-mounted quantum sensors capable of detecting submarines, per Nikkei Asia. The program extends Japan's investment in unmanned and emerging-technology defense capabilities under its defense buildup. · Nikkei Asia
- TECHNOLOGY** NEC discontinues quantum computer development program — NEC Corp. has withdrawn from quantum computer development after determining the project would require resources beyond what the company can commit, per Kyodo via Mainichi. NEC will continue related research but exits hardware development, narrowing Japan's domestic quantum computing industrial base. · Mainichi

STAT OF THE DAY

97%

Swap market probability of BOJ rate hike at Sept. 18 meeting

Swap contracts priced a 97% chance the Bank of Japan raises its benchmark rate by 25 basis points on September 18, per Japan Times reporting on BOJ board member Masu's Fukui speech.

BOJ will keep raising benchmark rate to cap price trend at 2%, board member says — Japan Times

REGIONAL PRESSURE WATCH

Normal — 17 items

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

CHINA

The JASDF scrambled fighters for a fifth consecutive day in response to Chinese reconnaissance aircraft flights near Japanese airspace, extending the most sustained aerial surveillance streak tracked in recent weeks. China's Foreign Ministry Spokesperson Mao Ning's September 8 press conference reiterated framing of historical issues as a benchmark for Japan's commitment to peaceful development; Global Times amplified a parallel line calling for Japan to 'face up to core issues' in bilateral ties despite a 'mini surge' in proposed exchanges.

NORTH KOREA

North Korea commissioned its second Choe Hyon-class 5,000-tonne guided-missile destroyer — the Kang Kon — carrying 88 vertical launch cells, within roughly two months of the first commissioning. Kim Jong Un declared both vessels integrated into Pyongyang's nuclear response system and pledged to build a nuclear-armed navy; the vessel is deployed near Japan per Defence Security Asia.

RUSSIA

Russia's Foreign Ministry formally rebuffed Japan's demand to remove the Khabarovsk memorial statue depicting destruction of a Japanese imperial border marker, issuing a statement telling Japan to stay out of Russian internal affairs. The standoff extends the summer of bilateral tension following President Putin's Etorofu visit and Russia's August 21 Bastion missile live-fire from the disputed Northern Territories.

Senkaku / ECS: No new Senkaku CCG intrusion reported in today's articles; the dominant China-Japan military signal today is the fifth consecutive day of JASDF scrambles against Chinese reconnaissance aircraft.

“Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development”

Chinese Foreign Ministry Spokesperson Mao Ning · Correctly addressing history is a benchmark for testing Japan's commitment to peaceful development: FM spokesperson — Global Times

Bottom line: The fifth consecutive day of JASDF scrambles against Chinese reconnaissance aircraft and North Korea's commissioning of a second nuclear-capable destroyer within two months — combined with Russia's formal refusal to remove the Khabarovsk statue — constitute a multi-vector pressure environment; watch whether the September 16 cabinet reshuffle produces defense-portfolio changes that signal Tokyo's response posture.

○ PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 5, 2026	50.2%	33.9%
Mainichi · Jul 20, 2026 · 52d ago	41%	44%

Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 5, 2026	52.8%	33.2%
Jiji · Jul 16, 2026 · 56d ago	48.4%	26.9%

Discourse: The Japan Times frames the September 16 cabinet reshuffle as a test of whether PM Takaichi is operationally independent from LDP Vice President Taro Aso, whose influence over cabinet composition is under scrutiny as opposition fragmentation cements LDP dominance.

Poll tracker: **Observing Japan approval-rating aggregator** →

○ SOCIAL STATEMENTS



Andrew Shearer

Australian Ambassador to Japan · Japan Times · Sep 10

“Australia brings resources, Japan brings technology, innovation, capital and manufacturing expertise”

Analyst: Shearer, Australia’s new ambassador to Japan, made the statement while calling for deeper energy and economic cooperation; he also publicly named China’s missile buildup as a threat.

Source →

○ UPCOMING

Sep
11

Nagoya Asian Games opening ceremony; 10,000-officer security deployment

The Asian Games opening ceremony is scheduled in Nagoya, where record rainfall and flooding struck on September 10. Japan is deploying 10,000 police officers for security; competition has already begun ahead of the ceremony.

Sep
16

Takaichi cabinet and LDP executive reshuffle

PM Takaichi is confirmed to reshuffle the cabinet and LDP leadership on September 16, one day earlier than initially reported. One Japan Innovation Party member is expected to be added; a minister for consumption-tax legislation may be designated.

Sep
18

Bank of Japan Monetary Policy Meeting decision

The BOJ’s two-day Monetary Policy Meeting concludes September 18; swap markets price a 97% probability of a 25-basis-point rate hike. BOJ board member Masu’s September 10 Fukui speech reinforced the hawkish signal.

Sep
22

PM Takaichi addresses UN General Assembly

PM Takaichi is confirmed to address the UN General Assembly on September 22. Japan is separately seeking to arrange a Takaichi-Trump bilateral meeting in late September, eyes on a possible US-China summit.

Oct
5

Extraordinary Diet session opens

The extraordinary Diet session is scheduled to open October 5, per government sources reported by Kyodo. It is expected to take up the consumption-tax reduction bill and other post-reshuffle legislative priorities.

◦ JAPANESE GOVERNMENT

KANTEI · CABINET · MOFA · MOD · METI · MOF · BOJ · THURSDAY, SEPTEMBER 10, 2026

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Government urges China to withdraw dichlorosilane antidumping measures; announces impact assessment

Chief Cabinet Secretary ****Minoru Kihara**** held morning and afternoon press conferences on September 9, urging China to withdraw provisional antidumping measures on Japanese dichlorosilane and announcing that the government will assess the impact on semiconductor material supply chains. Japan's formal response outlines a coordinated inter-ministerial review of China's measures, which impose cash deposits of up to 99.2%.

→ [Google News](#) ↗

防衛省 · MINISTRY OF DEFENSE · *Vice-Minister-level official Nakano*

Senior MOD official participates in multilateral conference on Ukraine support

MOD Deputy Minister-level official Nakano attended a multilateral conference on Ukraine support, per the Ministry of Defense. The meeting is consistent with Japan's sustained financial and non-lethal assistance posture toward Ukraine.

DIET SESSIONS / LDP

OPPOSITION PARTIES

Centrist Reform Alliance formalizes dissolution plan after merger talks collapse

Japan's main opposition Centrist Reform Alliance formally agreed to split along its founding party lines after merger negotiations failed, per Kyodo. Mainichi reporting frames the collapse as reinforcing a 'disunity' stigma that has repeatedly hobbled opposition efforts to mount a coherent challenge to LDP dominance.

◦ DIET WATCH

CABINET / PMO

Extraordinary Diet session targeted for October 5 opening

Government sources confirmed an extraordinary Diet session is planned to open October 5, per Kyodo, providing the legislative vehicle for PM Takaichi's consumption-tax reduction bill and other post-reshuffle priorities.

◦ BUSINESS & ECONOMY

MACRO · FT · BANK OF JAPAN

BOJ must raise rates further; Bessent backs yen strength — FT

FT Tokyo reports BOJ board member Masu delivered hawkish guidance in Fukui, calling for further rate hikes to anchor the 2% inflation target; the piece notes the comments follow US Treasury Secretary **Scott Bessent's** direct

communication to BOJ Governor **Kazuo Ueda** that Washington supports yen appreciation. Bloomberg separately reports hedge funds are betting the yen will strengthen past 150 per dollar by year-end.

ENERGY · NIKKEI ASIA

Japan to fund overseas biofuel projects to underpin domestic energy security

Japan will fund biofuel development projects abroad as part of its energy-security strategy, per Nikkei Asia, diversifying away from fossil-fuel import dependency.

◦ INDO-PACIFIC

KOREA-JAPAN · THE DIPLOMAT

The Diplomat: Japan-Korea 'like-minded' partnership has limits on North Korea

The Diplomat publishes analysis arguing Japan and South Korea share enough to cooperate on North Korea — but less convergence than often assumed — as former PM **Shigeru Ishiba** visits Seoul advocating deeper bilateral defense and technology ties.

DPRK · DEFENSE EXPRESS

North Korea commissions second 88-cell destroyer; two nuclear-capable ships in two months

North Korea commissioned its second Choe Hyon-class guided-missile destroyer — carrying 88 *vertical launch cells* — within two months, with Kim Jong Un integrating both ships into Pyongyang's declared nuclear response system and pledging a nuclear-armed navy.

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